

Research Title: The research investigates financial health indicators and operational contexts of nonprofit organizations in urban and rural areas.

Background: Nonprofit organizations are essential bodies that deliver crucial health, education, social welfare, and community development services. Nonprofit organizations require strong financial health to achieve their missions, which can be measured by multiple factors, including revenue diversity, liquidity, reserve strength, and employee retention (Bowman 2011). The focus of nonprofit studies on financial sustainability has widened, but most research still centers on organizational management and donor relations without accounting for geography's influence on financial results.

Key studies have looked into the differences between rural and urban nonprofit organizations. Neuhoﬀ and Duncelman (2009) assert that rural nonprofits are half the size of their urban counterparts and receive far less per capita funding. The same study observed that rural organizations exhibit a stronger financial management command, contrary to what one might expect. They suffer from fewer operating deficits and have more substantial cash reserves. Despite economic challenges, rural organizations face stronger local community connections, and elevated volunteer participation provides partial relief according to Nesbit, Choi, and Moss (2021), rural residents demonstrate higher volunteer activity compared to the urban population, which helps to compensate for financial scarcity.

Academic research has highlighted how internal financial management practices support sustainable organizational operations. Zainon et al. (2011) determined that nonprofit organizations achieve long-term success through effective budgeting, transparent reporting, and strong internal controls. According to Maaldu (2019) and Varghese & Ajukurian (2021), organizations that practice superior financial planning and income diversification demonstrate greater resilience. These studies do not explore the geographical impact of these practices, creating a significant gap in contextual understanding.

Even with the considerable amount of research on nonprofit sustainability and financial performance, the empirical analysis of the economic health of rural and urban nonprofits, in comparison to one another, lacks depth. Where prior studies have gone, they've either zeroed in on the funding disparity issue or have, at best, regarded geography as a secondary factor of interest. This research fills this gap by utilizing a nationally representative dataset containing detailed financial, operational, and geographic variables. It allows for a comparison with many more dimensions between the financial health of nonprofits located in urban settings versus those in rural ones. It also controls for some variables that one would expect to influence the outcome, including level of income, size of organization, and type of sector. It is critical to address this gap to understand how nonprofits' geographic locations affect their financial resilience. With everything from their missions to their boardrooms relocated to urban centers, the historical and contemporary federal, state, and private funding landscape has often left rural nonprofits ignored

and underserved. Disentangling these dynamics can help shift the nonprofit sector from a discourse of unfunded mandates to one in which contextually relevant solutions are the norm.

The study's implications can be applied to federal, state, and philanthropic funding policy. The recommendations can be utilized to ensure a more balanced distribution of resources rooted in empirical data that describes why nonprofits in rural areas are at a disadvantage. There are three clear areas where policy can help: change rules and agreements to accommodate nonprofit organizations better; improve income trends and fund management procedures to meet rural nonprofits' needs better; and—especially when deciding which nonprofits to support—include local indicators that better capture the actual situation in rural communities.

Main Research Question: This study seeks to answer the following primary research question: How does the financial health of nonprofit organizations differ between those headquartered in urban areas and those in rural areas in the United States?

Research Hypotheses: Drawing on resource dependency theory and previous empirical findings, the study proposes the following hypotheses:

- H1: Nonprofit organizations headquartered in urban areas will report greater access to financial resources—such as higher donation growth and more diverse revenue streams—than rural nonprofits.
- H2: The relationship between geographic location (urban vs. rural) and nonprofit financial health will be moderated by organizational size and the income level of the communities served.

Research Methods

a. Data Source and Sample: This study uses data from the Spring 2021 National Survey of Nonprofit Trends and Impacts, a nationally representative sample of data collected by the Urban Institute in collaboration with academic and policy partners. Over 2,300 nonprofit organizations from across the United States have responded to the survey. The sample was stratified by organization size, type (by NTEE category), and geographic location to guarantee city and national organizations. The sample organizations needed at least \$50,000 in annual expenses reported and status as an established public charity. The data set includes variables for changes in funding, reserves, staffing, volunteerism, financial practices, and geographic location that are all entirely appropriate to examining how place influences nonprofit financial health.

b. Operational Definitions for Key Concepts

- **Financial Health:** An organization's ability to manage risks, sustain operations, and achieve objectives, measured using donation growth, revenue diversity, reserve access, and staffing changes.

- Urban vs. Rural Location: Defined using MAV_Urban_Rural_Oth_cat variable, classifying organizations as "Urban Core," "Non-Urban Core, Non-Rural," and "Rural" based on ZIP code.
- Revenue Diversity: Assessed using the proportion of revenue from donations, grants, government funding, and earned income.
- Community Income Level: Binary indicator of whether the ZIP code is classified as low-income, based on federal guidelines.

Table 1. Key Variables in the Research Study

Variable Type	Variable Name	Label / Description	Source in Dataset
Dependent Variable	FRchanges_2_1	Change in donation revenue (2020 vs. 2019)	Financial Health Indicator
Alternate DVs	Reserves_1_1_1, Funding2_*, StaffChanges_1	Reserve use, revenue sources, staffing changes	Robustness Checks
Independent Variable	MAV_Urban_Rural_Oth_cat	Urban vs. Rural Classification (recoded)	Geographic Location
Moderating Variable	SizeStrata1	Organizational size based on expense strata	Organization Size
Moderating Variable	MAV_ziptostate_LOWinc	ZIP code-level low-income classification	Community Income Level

c. Statistical Modelling Techniques: Multiple linear regression models will be used to assess how urban or rural location affects nonprofit financial health. Geographic classification will be dummy-coded. Interaction terms will be created between geographic location, organizational size, and community income level to test for moderation. Diagnostic checks will be performed to confirm regression assumptions. Alternate models will be estimated using other financial health indicators for robustness.

Preliminary analyses: Univariate statistics reveal that the mean donation change in 2020 was -10.3%, with high variability (SD = 39.4). Reserve use ranged from \$0 to \$1.89 million, with a mean of \$214,489. Urban nonprofits withdrew an average of \$255,067 in reserves compared to

\$174,060 among rural organizations. PPP loan access was reported by 483 non-urban and 404 urban nonprofits, while only 158 rural nonprofits received PPP support. Volunteer importance was higher in rural nonprofits (mean = 3.72) than urban ones (mean = 6.76 on a reverse-coded scale).

Initial bivariate analyses suggest urban nonprofits had more minor donation losses but drew more from reserves. Rural organizations leaned more on volunteer labor. Future analyses will use t-tests and ANOVA to test these group differences for statistical significance.

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